



TITAN GRID: A SMART FACTORY FOR NEAR-SHORING THE PRODUCTION OF TRANSFORMER TANKS AND RADIATOR FIN WALLS



FIN-2.2 CAPEX Schedule

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FIN-2.2: CAPEX Schedule – Capital Deployment Strategy

TITAN Grid – Structured Investment Execution

Source Document:

- **Total CAPEX: €18.28 million**
- **Implementation Period: 14 months (Construction + Equipment Installation)**
- **Currency: EUR (€)**

Executive Summary: CAPEX Optimized for Return and Risk Control

The TITAN Grid's capital expenditure framework is crafted to:

- **Maximize productive asset allocation (automation-driven output)**
- **Minimize execution risk through phased deployment**
- **Ensure early operational readiness and rapid cash flow generation**

Capital is not merely invested—it is strategically sequenced to enhance IRR and mitigate downside risk.

1. CAPEX Structure by Category

The allocation aligns with a modern Industry 4.0 industrial model, emphasizing technology over construction.

CAPEX Breakdown

Category	Amount (€)	% of Total	Strategic Role
Land & Infrastructure (Sunk)	1,081,424	6%	Fully owned site (collateral base)
Industrial Facility (Factory Hall)	6,400,000	35%	Tier-1 compliant Smart Factory
Core Technology Equipment	8,000,000	44%	Revenue-generating assets (laser, robotics)
Solar Energy System (1.4 MWp)	1,200,000	7%	Energy hedge + ESG compliance
Software & Digital Twin	600,000	3%	Production optimization & traceability
Furniture & IT Infrastructure	200,000	1%	Operational support systems
Contingency Reserve	800,000	4%	Risk buffer (≈5% of hard CAPEX)





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Key Insight

- Over 47% of CAPEX is allocated to technology and software
- This is a direct driver of:
 - Revenue generation
 - Margin expansion
 - Scalability

2. CAPEX Quality: Productive vs. Non-Productive Capital

Capital Efficiency Analysis

Category Type	Share	Interpretation
Productive Assets (Equipment + Software)	~47%	High revenue-generating base
Infrastructure (Building + Land)	~41%	Necessary but non-revenue generating
ESG & Energy	~7%	Cost hedge + financing advantage
Contingency	~4%	Execution risk protection

- Investor Interpretation

A high share of productive CAPEX signifies:

- Faster revenue ramp-up
- Increased capital productivity (Revenue / CAPEX)
- Stronger EBITDA margins

3. Disbursement Timeline (2026–2027)

Phased Capital Deployment Strategy

CAPEX will be allocated in controlled tranches aligned with execution milestones, reducing risk and optimizing liquidity.

- Phase 1: Mobilization (Q2 2026)
- Disbursement: ~€2.5M
- Advance payments for:
 - Steel structure
 - Long lead-time equipment

Purpose: Lock supply chain & avoid delays





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Phase 2: Construction Phase (Q3–Q4 2026)

- **Disbursement: ~€5.5M**
- **Civil works (factory construction)**
- **Milestone-based contractor payments**

Purpose: Physical asset realization

Phase 3: Technology Installation (Q1–Q2 2027)

- **Disbursement: ~€7.5M**
- **Delivery & installation of:**
- **Robotic welding systems**
- **Fibre laser cutting**
- **Solar PV deployment**
- **Final equipment payments (SAT – Site Acceptance Test)**

Purpose: Enable production capability

Phase 4: Finalization & Ramp-Up (Q3 2027)

- **Disbursement: Remaining balance**
- **Working capital buffer**
- **Operational readiness**

Purpose: Smooth transition to revenue generation

4. Depreciation Policy (P&L Impact)

Depreciation is structured to optimize tax efficiency and accounting performance.

Asset Class	Useful Life	Method
Buildings	20–30 years	Straight-line
Technology Equipment	~10 years	Accelerated (high-tech)
IT & Software	3–5 years	Straight-line

Financial Impact

- **Reduces taxable income**
- **Enhances early-stage cash flow**
- **Improves equity returns**





5. Risk Mitigation Embedded in CAPEX Design

1. Contingency Buffer

- €800K (~5% of CAPEX)

→ Covers:

- Material price fluctuations
- Construction overruns

2. Phased Payments

- Linked to milestones

→ Prevents:

- Capital misallocation
- Contractor risk

3. Lead-Time Protection

- Early ordering of critical equipment

→ Eliminates:

- Supply chain delays
- COD slippage risk

6. Link to Financial Performance

The CAPEX structure directly supports key financial outcomes:

CAPEX Feature	Financial Effect
High automation investment	EBITDA margin (28–32%)
Solar integration	Reduced OPEX volatility
Efficient phasing	Faster COD → higher IRR
Contingency reserve	Downside protection





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7. Credit Committee Perspective

From a lender's viewpoint, this CAPEX structure demonstrates:

- **Controlled deployment risk**
- **High asset quality (collateral value)**
- **Strong linkage between CAPEX and cash flow generation**

Conclusion: CAPEX as a Value Engine

“The TITAN Grid CAPEX structure exemplifies a modern, capital-efficient industrial model—where investments are focused on revenue-generating assets, deployed in a controlled timeline, and safeguarded against execution risk.”

Final Investment Insight

This CAPEX strategy ensures:

- **Rapid transition from investment to cash flow**
- **High return on invested capital**
- **Robust protection against execution risk**

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→ Directly supporting the project's **32.8% IRR**** and a ****4.1-year payback profile****.**

